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Study Notes

Five Year Plans

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Central Planning in India

Planning at national level was first adopted by Soviet Union. It used it as an instrument of economic progress.

First Five-year plan was adopted by Soviet Union in 1928.

India after independence adopted similar model of central planning with Five Year Plans to achieve various Socio-economic targets for country.

Planning Commission was set up in March 1950 to act as a permanent autonomous body to oversee the whole gamut of central planning in India.

India presently follows multi-level planning with central planning at the top. o Central level planning- These plans are formulated and financed by Central government.

State level planning- Gradually several states set up their state Planning Boards to formulate state plans as per their needs and resources. These were usually of five years and run parallel to central five-year plans.

District level planning- these are formulated by District planning boards with District Magistrate being the chairman of the body. These are implemented by local government bodies (Municipality or PRIs).

Block level planning- This is a part of district level planning. District planning board acts as nodal body for such plans too.

Local level planning- This is the lowest strata of multi-level planning structure in India. It includes Village level planning, Hill area planning and Tribal area planning.

Five Year Plans

Five-Year Plans (FYPs) are centralized and integrated national economic programs. · Post independence, India launched its First FYP in 1951, under socialist influence of first Prime Minister Jawaharlal Nehru. It began with setting up of Planning Commission in March 1950.

Five Year Plans	Years	Objective	Assessment
1st Five Year Plan	1951- 1956	Rehabilitation of refugees, rapid agricultural development to achieve food self-sufficiency in the shortest possible time, and control of inflation.	Targets and objectives are more or less achieved. With an active role of the state in all economic sectors. Five Indian Institutes of Technology (IITs) were started as major technical institutions.
2nd Five Year Plan	1956-1961	The Nehru-Mahalanobis model was adopted. 'Rapid industrialization with particular emphasis on the development of basic and heavy industries Industrial Policy of 1956 accepted the establishment of a	It could not be implemented fully due to the shortage of foreign exchange. Targets had to be pruned. Yet, Hydroelectric power projects and five steel mills at Bhilai, Durgapur, and Rourkela were

		socialistic pattern of society as the goal of economic policy.	established.
3rd Five Year Plan	1961-1966	'Establishment of a self-reliant and self-generating economy'	Failure. Wars and droughts. Yet, Panchayat elections were started. State electricity boards and state secondary education boards were formed.
Plan Holiday-Annual Plan	1966-1969	Crisis in agriculture and serious food shortage required attention	A new agricultural strategy was implemented. It involved the distribution of high-yielding varieties of seeds, extensive use of fertilizers, exploitation of irrigation potential, and soil conservation measures.
4th Five Year Plan	1969-1974	Growth with stability and progressive achievement of self-reliance Garibi Hatao Target: 5.5 pc	Was ambitious. Failure. Achieved growth of 3.5 percent but was marred by Inflation. The Indira Gandhi government nationalized 14 major Indian banks and the Green Revolution in India advanced agriculture.
5th Five Year Plan	1974-1979	Removal of poverty and attainment of self-reliance	High inflation. Was terminated by the Janta govt. Yet, the Indian national highway system was introduced for the first time.
6th Five Year Plan	1980-1985	Direct attack on the problem of poverty by creating conditions of an expanding economy	Most targets achieved. Growth: 5.5 pc. Family planning was also expanded in order to prevent overpopulation.
7th Five Year Plan	1985-1990	Emphasis on policies and programs that would accelerate the growth in foodgrains production, increase employment opportunities and raise productivity	With a growth rate of 6 pc, this plan was proved successful in spite of severe drought conditions for the first three years consecutively. This plan introduced programs like Jawahar Rozgar Yojana.
Annual Plans	1989-1991	No plan due to political uncertainties	It was the beginning of privatization and liberalization in India.
8th Five Year Plan	1992-1997	Rapid economic growth, high growth of agriculture and allied sector, and the manufacturing sector, growth in exports and imports, improvement in trade, and current account deficit. to undertake an annual average growth of 5.6%	Partly success. An average annual growth rate of 6.78% against the target of 5.6% was achieved.
9th Five Year Plan	1997-2002	Quality of life, generation of productive employment, regional balance, and self-reliance. Growth with social justice and equality. growth	It achieved a GDP growth rate of 5.4%, lower than the target. Yet, industrial growth was 4.5% which was higher than the targeted 3%.

		target 6.5%	The service industry had a growth rate of 7.8%. An average annual growth rate of 6.7% was reached.
10th Five Year Plan	2002 – 2007	To achieve 8% GDP growth rate, reduce poverty by 5 points and increase the literacy rate in the country.	It was successful in reducing the poverty ratio by 5%, increasing forest cover to 25%, increasing literacy rates to 75 %, and the economic growth of the country over 8%.
11th Five Year Plan	2007-2012	Rapid and inclusive growth. Empowerment through education and skill development. Reduction of gender inequality. Environmental sustainability. To increase the growth rate in agriculture, industry, and services to 4%,10%, and 9% resp. Provide clean drinking water for all by 2009.	India has recorded an average annual economic growth rate of 8%, farm sector grew at an average rate of 3.7% as against the 4% targeted. The industry grew with an annual average growth of 7.2% against the 10% targeted.
12th Five Year Plan	2012-2017	“Faster, sustainable and more inclusive growth”. Raising agriculture output to 4 percent. Manufacturing sector growth to 10 %The target of adding over 88,000 MW of power generation capacity.	-

12th Five Year Plan

Twelfth Five Year Plan focuses on Growth – Growth which is

- Faster
- Inclusive
- Sustainable

25 Core Monitorable Targets of the 12th Five Year Plan (2012-17)

ECONOMIC GROWTH

- Real GDP growth at 8%.
- Agriculture growth at 4%.
- Manufacturing growth at 10%.
- Every state must attain higher growth rate than the rate achieved during 11th plan.

POVERTY AND EMPLOYMENT

- Poverty rate to be reduced by 10% than the rate at the end of 11th plan.
- 5 Crore new work opportunities and skill certifications in non-farm sector.

EDUCATION

- Mean years of schooling to increase to 7 years.

- 20 lakh seats for each age bracket in higher education.
- End gender gap and social gap in school enrollment.

HEALTH

- Reduce IMR to 25; MMR to 1. Increase Child Sex Ratio to 950.
- Reduce Total Fertility Rate to 2.1
- Reduce under nutrition of children in age group 0-3 to half of NFHS-3 levels.

INFRASTRUCTURE

- Investment in Infrastructure at 9% of GDP
- Gross Irrigated Area 103 million hectare (from 90 million hectare)
- Electricity to all villages; Reduce AT&C losses by 20%.
- Connect Villages with All Weather Roads
- National and State high ways to a minimum of 2 lane standard.
- Complete Eastern and Western Dedicated Freight Corridors.
- Rural Tele-Density to 70%.
- 40 Litres Per Capita Per Day Drinking Water to 50% of rural population; Nirmal Gram Status to 50% of all Gram Panchayats.

ENVIRONMENT AND SUSTAINABILITY

- Increase green cover by 1 million hectare every year.
- 30,000 MW renewable energy during Five Year Period.
- Emission intensity of GDP to be reduced to 20-25% of 2005 levels by 2020.

SERVICE DELIVERY

- Banking Services to 90% of Indian Households.
- Subsidies and Welfare related payment to be routed through Aadhar based Direct Cash Transfer Scheme.

NITI Aayog's Three-year Action Agenda

The Action Agenda has been prepared as an integral part of the exercise leading to the Vision and Strategy document.

The Action Agenda proposes linking Central government expenditures to future priorities. It suggests shifting the composition of expenditures by allocating a larger proportion of additional revenues that become available over time to high-priority sectors. Under the proposed agenda, the share of non-developmental revenue expenditure in total expenditure would decline from 47% in 2015-16 to 41% in 2019-20. The document is divided in 7 parts.

1. Medium-Term Expenditure Framework (MTEF)

It proposes reducing fiscal deficit to 3% by 2018-19 and revenue deficit to 0.9% of the GDP by 2019-20.

2. Doubling Farmers' income by 2022

It seeks to double farmers' income by several means including reform in APMCs; raising productivity through enhanced irrigation; faster seed replacement rates; precision agriculture; and a shift to high value commodities, horticulture, animal husbandry, fisheries etc.

3. Job Creation in Industries and Services

It proposed the idea of Coastal Employment Zones to boost exports and generate high-productivity. It also proposed enhancing the labour market flexibility through reforming key labour laws.

4. Urban development

It includes bringing down the land prices to make housing affordable through increased supply of urban land; flexible conversion of land use; release of land held by sick units; generous Floor Space Index; reform of rent control act on the lines of Model Tenancy Act etc.

5. Regional strategies

It includes targeted development of North East; Coastal Areas & Islands; North Himalayan states; Desert and Drought prone states; Transport and Digital Connectivity.

6. Energy sector

Under this the document emphasizes to adopt consumer friendly measures such as provision of electricity to all households by 2022; LPG connection to all households and elimination of black carbon by 2022; extension of city gas distribution program to 100 smart cities etc.

7. Science & technology

It proposed to set up National Science, Technology & Innovation Foundation to identify and deliberate national issues, recommend priority interventions in S&T and prepare framework for their implementation.

8. Governance and Rule of law

It proposed closing the loss-making PSEs and strategic disinvestment of 20 identified CPSEs. Also expanding the government's role in public health and quality education is required at this point of time. It proposed significant judicial system reforms including increased ICT use, structured performance evaluation and reduced judicial workload.

9. Taxation and regulation

It includes tackling the tax evasion, expanding the tax base, simplification of tax regime etc.

10. Health and Education

The document proposed focus on public health through significantly increasing government expenditure on it, generating and disseminating the periodic, district level data as per uniform protocols, formulating a model policy on human resources for health, reforming IMC Act etc.

It includes quality of school education; moving away from input-based to outcome-based assessments; rank outcomes across jurisdictions; judicious use of ICT; revisiting the no-detention policy and focus on creating and funding public universities under World Class Universities Program etc.

11. Inclusive Society

It includes enhancing the welfare of women, children, youth, minorities, SC, ST, OBCs, differently able persons and senior citizens.

This also proposes developing a composite gender-based index to reflect the status of women.

12. Environment and Water Resources

This includes adopting sustainable practices and streamline regulatory structures to support high economic growth.